India & Spain: Strengthening Partnership, Shaping Shared Growth

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FOREWORD

Spain occupies a distinctive and increasingly consequential position within Europe's economic landscape. As the European Union's fourth-largest economy and a major gateway between Europe, the Mediterranean and Latin America, Spain combines a diversified industrial base, strong tourism and services sectors, globally competitive automotive and infrastructure capabilities, expanding renewable-energy capacity, and growing strengths in digital technologies, pharmaceuticals and agri-food. Its position within the EU Single Market and its sophisticated infrastructure create substantial long-term potential for international businesses. At the same time, regulatory complexity across European and national frameworks, regional economic differences, evolving labour-market conditions and the competitive nature of the European market shape the pace at which opportunities can be converted into sustained commercial outcomes.

India and Spain share a longstanding diplomatic relationship established in 1956, with economic and strategic engagement gaining renewed momentum in recent years. The year 2026 is being observed as the India–Spain Dual Year of Culture, Tourism and Artificial Intelligence, marking the 70th anniversary of diplomatic relations. President of the Government of Spain Pedro Sánchez's visit to India in February 2026, following his earlier visit in October 2024, further reinforced cooperation across artificial intelligence, manufacturing, defence production, infrastructure, renewable energy, tourism and technology. Bilateral trade has expanded steadily, with Indian exports increasingly encompassing engineering goods, chemicals, pharmaceuticals, textiles and other manufactured products, while Spain remains an important source of machinery, chemicals, transport equipment and other industrial inputs. Investment ties, however, remain capable of expanding considerably relative to the scale and capabilities of both economies.

Looking ahead, the paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Spain in a manner appropriate to current market conditions whether through sector-specific market intelligence, structured business matchmaking, or institutional dialogue with the Embassy of Spain, ICEX España Exportación e Inversiones, Spanish business associations, regional authorities and other relevant stakeholders that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Spain's economy, its major sectors, and the opportunities and constraints shaping India–Spain economic engagement, serving as a reference for CCI India's engagement with Spanish institutions, industry stakeholders, investors and Indian companies assessing the market.



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SPAIN

> Experience vibrant culture, coastal beauty, and local traditions through slow journeys.



Basic Facts and Population

Spain, officially the Kingdom of Spain, is a major European nation located on the Iberian Peninsula, with Madrid as its capital and largest city. It is a constitutional monarchy with Spanish as the official language, and the national currency being the Euro (EUR).

As of 2025, Spain's population stands at approximately 48.0 million. The country is known for its cultural diversity, historic regions, and strong global cultural influence. The Indian community in Spain continues to grow and contributes meaningfully to bilateral cultural exchanges.

Economy and GDP

Spain is recognized as a high-income, diversified economy within the European Union. Historically reliant on agriculture and manufacturing, the country has successfully transitioned into a service-based economy, with major sectors including tourism, automobile production, renewable energy, finance, and pharmaceuticals. The estimated nominal GDP for 2025 is about US$ 1.7 trillion, placing Spain among the world's top 15 economies. Its economic strengths are supported by strong infrastructure, innovation in green technologies, and a competitive industrial base.

Bilateral Trade and Economic Ties with India

India and Spain share a steadily expanding partnership rooted in diplomatic ties established in 1956. The relationship covers trade, investment, defense technology, renewable energy cooperation, and growing technological collaboration. Spain supports India's renewable energy and smart-infrastructure initiatives, while India plays a significant role in supplying manufactured goods and IT services to Spain. The two nations continue strengthening cooperation under the broader India–EU strategic engagement framework.

Culture and Heritage

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Bilateral Trade with India (in Billions)

India–Spain bilateral trade has shown consistent upward momentum, reaching approximately USD 7.2 billion in FY 2024–25. Both countries are working toward diversification of trade through enhanced market access, industrial partnerships, and greater private-sector collaboration. Spain remains one of India's key economic partners within the European Union, especially in technology, manufacturing, and clean-energy solutions.

Import and Export from India

The India–Spain trade basket is broad and reflects complementary economic strengths. India's exports to Spain include textiles, organic chemicals, automobiles, machinery, and pharmaceuticals, while India's imports from Spain consist mainly of mechanical appliances, electrical machinery, chemicals, plastic goods, and precision instruments. The charts below illustrate the recent five-year trend of bilateral trade flows.

Culture and Societal Values

India and Spain share warm and evolving cultural ties driven by tourism, cinema collaborations, academic exchanges, yoga adoption, and growing business interactions. The Indian diaspora in Spain, estimated at around 70,000, contributes significantly to entrepreneurship, technology, and hospitality sectors. Spanish interest in Indian culture, festivals, and cuisine has deepened cultural bridges. These people-to-people connections play a central role in strengthening the long-term partnership between the two nations.



Economic and Investment Ties

Economic ties between India and Spain are reinforced by bilateral investments, joint ventures, and growing cooperation in renewable energy, transportation, defense manufacturing, and technology. Spain is among the largest EU investors in India, particularly in infrastructure and green technologies. Indian investments in Spain continue to expand in IT, chemicals, and industrial manufacturing. The two economies complement one another, enabling sustained expansion in bilateral trade and investment flows.

1. COUNTRY PROFILE OF SPAIN

1.1 Executive Country Snapshot

Official Name	Kingdom of Spain (Reino de España)
Capital	Madrid
Population	48.6 million (2024 est., INE)
Geographic Location	Southwestern Europe, Iberian Peninsula
Currency	Euro (EUR)
Official Language	Spanish (Castilian); Co-official: Catalan, Galician, Basque
Political System	Parliamentary Constitutional Monarchy
Head of State	King Felipe VI
Head of Government	President of the Government (Pedro Sánchez)
EU Membership	Since January 1, 1986
Major Cities	Madrid, Barcelona, Valencia, Seville, Zaragoza, Malaga
GDP (Nominal)	Approx. USD 1.58 Trillion (2023, World Bank)
GDP per Capita	Approx. USD 33,000 (2023, World Bank)
Major Exports	Cars, Refined Petroleum, Packaged Medicaments, Parts/Accessories
Major Imports	Crude Petroleum, Cars, Petroleum Gas, Packaged Medicaments
Major Ports	Algeciras, Valencia, Barcelona, Bilbao

1.2 Geography and Strategic Location

Spain occupies approximately 85% of the Iberian Peninsula, offering a dual maritime frontage on the Mediterranean Sea and the Atlantic Ocean. This positioning makes Spain a critical logistics hub for three continents: Europe, Africa, and the Americas.

- Gateway to Latin America: Due to historical, linguistic, and cultural ties, Spain serves as the primary European entry point for Latin American firms and a launchpad for Indian companies targeting LATAM markets.
- Proximity to North Africa: Separated by only 14 km at the Strait of Gibraltar, Spain is a vital partner for trade with Morocco and the wider Maghreb region.
- Logistics Infrastructure: Boasting one of the best high-speed rail networks (AVE) in the world and world-class ports (Valencia and Algeciras), Spain offers seamless connectivity to the rest of the EU.

1.3 Political and Administrative Structure

Spain is a highly decentralized state divided into 17 Autonomous Communities (Comunidades Autónomas) and 2 Autonomous Cities (Ceuta and Melilla). Each region has significant competencies in economic promotion, education, and health, which is crucial for Indian businesses to understand.

Region	Business Relevance for India
Madrid	Financial center, corporate HQs, aerospace, and high-tech services.
Catalonia	Industrial powerhouse, chemicals, automotive, and logistics (Barcelona port).
Basque Country	Advanced manufacturing, energy, and automotive components.

1.4 Demographics and Society

Spain's demographic profile is characterized by an aging population, which drives demand in healthcare and biotechnology sectors where India has significant strength. Furthermore, Spain's high urbanization rate (approx. 81%) and digital literacy create a ready market for Indian IT and fintech solutions.